Pennsylvania (:)

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THE ONE-LINE VERDICT

Pennsylvania's September 2026 print ($555.0m, +4.1% YoY) confirms a $7bn-a-year, online-led market: iGaming (+6.8%) and a hold-driven sports betting rebound (+50% taxable revenue on −6% handle) carried a −3.2% retail casino month. The numbers are strong but the rules are tightening — a bipartisan online consumer-protection push (HB 2879, PGCB Regulation 125-258), the post-Supreme Court skill-game shake-out and unlicensed sweepstakes/prediction-market competition define the 2027 agenda far more than tax risk does.

TOTAL GAMING REVENUE (SEP-26)	IGAMING GGR	SPORTS WAGERING TAXABLE REVENUE	RETAIL CASINO GGR (SLOTS + TABLES)	TAX & LOCAL SHARE COLLECTED	ONLINE SHARE OF GGR
$555.0m	**$249.3m**	**$44.7m**	**$256.3m**	**$242.6m**	**52.5%**
+4.1% YoY; −2.6% MoM	+6.8% YoY; 44.9% of total (+1.2pp)	+50.5% YoY on handle −6.1% ($798.7m)	−3.2% YoY (tables −18.1%)	43.7% of GGR; −2.6% MoM	iGaming + online sports + DFS = $291.1m

1 EXECUTIVE SUMMARY

- **A $7bn market still compounding.** PGCB reported September 2026 combined gaming revenue of $555,036,870, +4.07% YoY versus $533.3m (−2.6% MoM from August's $569.7m). FY2025/26 (Jul-25 to Jun-26) closed at a record $7,006.0m (+9.6%), the first fiscal year above $7bn, with $3,098.2m returned in taxes and fees (44.2% of GGR, including $110m of slot-licence operation fees).
- **Online is now the majority channel.** Online products — iGaming $249.3m, online sports taxable revenue $40.3m and fantasy $1.5m — generated $291.1m or 52.5% of September GGR; iGaming alone was 44.9% of the total (+1.2pp YoY). On a fiscal-year basis iGaming was 41.9% of GGR ($2,933.5m) and total online roughly 50%.
- **iGaming: +6.8% YoY, but decelerating.** September iGaming GGR was $249.3m (+1.5% MoM): slots $197.4m (+9.0%), banking tables $49.7m (−0.6%), poker rake $2.3m (−1.8%). FY2025/26 growth was +18.4%; Q1 FY26/27 (Jul-Sep) is running at $744.0m. iSlots turnover was $5.12bn in the month at a 3.86% post-deduction hold.
- **Sports betting is a hold story, not a volume story.** Handle fell 6.1% YoY to $798.7m, yet taxable revenue rose 50.5% to $44.7m because gross hold was 9.2% ($73.5m pre-promo) against a weak 3.5% taxable hold in September 2025. Promotional credits deducted were $28.8m (3.6% of handle; 39% of gross revenue). Online took 96.1% of handle and 90.2% of taxable revenue. FY2025/26: revenue $662.9m (+36.0%) on handle $8,448.1m (−3.1%); taxable hold 7.85% vs 5.59%.
- **Retail casino is flat-to-soft.** Retail slots $196.2m (+2.4%; 24,523 units in service, +192 YoY; win/unit/day ≈ $267) and retail tables $60.2m (−18.1%) gave a combined $256.3m (−3.2% YoY, −8.6% MoM). FY2025/26 retail slots were +0.02% and tables −2.2%: the land-based base is ex-growth and iGaming is where incremental dollars land.
- **Property league table is iGaming-weighted.** Hollywood Casino at Penn National Race Course reported $113.6m (20.5% of the state; +11.8%) on the back of $99.0m iGaming; Valley Forge $96.6m (17.4%; $69.8m iGaming + $15.8m sports); Rivers Philadelphia $55.7m; Parx $50.1m (−5.6%); Wind Creek Bethlehem $37.5m (−10.3%). Happy Valley Casino (Cat 4, opened April 2026) added $2.0m.
- **iGaming is a three-licence market.** Penn National 39.7%, Valley Forge (FanDuel) 28.0% and Rivers Philadelphia 15.4% of September iGaming GGR — 83.1% combined; Harrah's (Caesars) 5.4%, Golden Nugget 2.9%, Parx 2.4%, Bally's 2.1%, Presque Isle 1.9%. Mount Airy ceased iGaming in September 2025; Mohegan (−64.6% YoY) and Wind Creek (−34.1%) are shrinking, Live! Philadelphia fell 52.8% over FY2025/26.
- **Sports betting is a two-brand duopoly.** Valley Forge/FanDuel 37.9% of online taxable revenue (36.7% of online handle) and Hollywood Casino at the Meadows/DraftKings 30.7% (32.7%) — 68.6% together. Penn's York and Morgantown licences took 7.6% and 7.9%; Presque Isle's new online skin bought 5.3% of handle with promo credits equal to 86% of its gross revenue (taxable share 1.8%).
- **Tax regime: GGR-based and among the heaviest in the US, but stable.** iSlots 54% (34% state + 13% CFA county grants + 5% LSA + 2% LSA); iTables/poker 16%; sports 36% (34% + 2%) of revenue net of promotional credits, plus the 0.25% federal excise on handle; retail slots ~55% statutory (34% state, Race Horse Development Fund ~12%, 5% EDTF, 4% local share) with a 50.6% effective rate in PGCB's September figures; retail tables 16% (17.4% effective); VGTs 52%; DFS 15%. September tax take $242.6m = 43.7% of GGR; iGaming $114.9m (46.1% effective); sports $16.1m.
- **Promo deductibility materially lowers the effective burden.** Sportsbooks deducted $28.8m of credits in September (≈$10.4m of tax at 36%); the iGaming report implies $67.5m of deductions on slots (wagers $5,115.9m − payouts $4,851.1m − GGR $197.4m), i.e. ~25% of pre-deduction win, so the 54% headline bites on a materially smaller base. Q1 FY26/27 implied iSlots deductions: $213.3m.
- **Licensing is casino-anchored.** 18 land-based casinos (6 Category 1 racetrack, 5 Category 2 stand-alone, 2 Category 3 resort, 5 Category 4 mini-casinos), 11 online sportsbooks, 17 retail books, 22 iGaming sites, 72 VGT truck stops (5 terminals each) and 7 DFS operators. Fees: interactive gaming certificate $10m for all three verticals (or $4m per vertical, also the Qualified Gaming Entity route for non-casino brands), sports wagering certificate $10m, both renewable at $250k every five years; platform-operator licence $1m/5 yrs ($100k renewal); $10m p.a. slot-licence operation fee for Cat 1/2; $4m bond per interactive certificate.
- **Skill-game shake-out is the biggest structural event since Act 42.** The PA Supreme Court ruled in June 2026 that the estimated 70,000 'skill games' are slot machines under the Gaming Act and stayed enforcement 120 days; the legislature failed to act by 13 October and Pennsylvania State Police began seizures on 14 October, with Pace-O-Matic remotely disabling machines. This is a direct demand tailwind for licensed slots, VGTs and iGaming from Q4 2026 — until Harrisburg legalises and taxes the devices, which both parties and Gov. Shapiro say they want to do in 2027.
- **Online consumer-protection push is bipartisan and specific.** HB 2879 (Pennsylvania Online Consumer Protection Act, introduced 21 Oct

2026 by Reps. Khan (D) and Flick (R) alongside a new Problem Gambling Caucus) would ban microbets and same-game parlays, VIP/host programmes and credit-card deposits; impose mandatory daily/monthly loss limits (lower for ages 21–25), a two-deposits-a-day cap, affordability checks above $5,000 in 180 days, a two-hour default daily session, biometric checks at login and for wagers above $500; restrict advertising; and levy 0.75% of online casino and sports revenue for DDAP problem-gambling programmes. It cannot pass before the session ends 30 November, but it is the template for 2027.

- **PGCB is already moving by regulation.** Proposed Regulation #125-258 (Pennsylvania Bulletin, 11 Jul 2026) would require operators to offer daily/weekly/monthly deposit, spend, wager and time limits at account opening, hourly session pop-ups, monthly responsible-gambling messaging without promotions, direct-marketing opt-outs, account suspension up to a year, monthly self-limit/self-exclusion reporting and an advertising rule for majority-underage audiences. Comments closed 10 August; NCPG is lobbying for limits to be default-on; IRRC review is under way.
- **The evidence base is state-commissioned.** The Joint State Government Commission's HR60 staff study (14 Jul 2026) ranks a player-data mandate first and recommends a uniform credit-card deposit ban for interactive accounts, mandatory self-limits, curbs on logged-off promotions and VIP programmes. The Penn State/DDAP 2025 Interactive Gaming Assessment (Jan 2026) found up to 30% of PA adults gambled online in 2025 (20% in 2024; ~11% in 2021-22), 2.5–6.4% may be problem gamblers, and >10% used unregulated sites.
- **Unlicensed competition is on the 2027 docket.** HB 2801 (pre-filed late September for the session opening 5 Jan 2027) would ban online sweepstakes casinos with fines up to $500,000 and PGCB/Attorney General enforcement powers, inside a broader Gaming Act rewrite of fees, taxes and distributions. Prediction markets (Kalshi, Polymarket) operate in PA at 18+ outside PGCB; PGCB told the CFTC on 30 Apr 2026 that sports event contracts 'is sports wagering', while HB 2711 (22 Jul 2026) would instead license them under the Attorney General ($1m fee, 21+).
- **Fiscal politics favour stability on rates.** The $50.8bn FY2026-27 budget (signed July 2026) contained no gaming tax changes; a record $3.1bn gaming take reduces near-term pressure for rate increases, and the live policy fight is over skill-game taxation (Shapiro has proposed taxing/regulating them in three of four budgets). The November 2026 gubernatorial election is the swing factor.
- **Payments: card rails today, credit-card ban tomorrow.** Interactive accounts may be funded by credit card (retail slot play cannot be, under 58 Pa. Code), alongside ACH/online banking, debit, e-wallets and cage/prepaid options; PGCB publishes no payment-mix data (n/a). A credit-card ban is the single most probable payments rule change in 2027 (JSG recommendation + HB 2879).
- **Read-through for B2Tech.** Market access is through a Pennsylvania casino skin or a Qualified Gaming Entity certificate ($4m per vertical) under a 54% slots tax — viable only with scale or as a B2B/platform supplier. iGaming (~$3bn, growing 7–18%) is the prize; sports betting is a FanDuel/DraftKings duopoly where entry is bought with promo (Presque Isle's 86% promo-to-gross). Underwrite 2027 for a credit-card ban, mandatory limits, promo/VIP curbs and a possible 0.75% RG levy rather than for a tax hike.

2 MARKET SUMMARY

US $M (PGCB-REPORTED GROSS GAMING REVENUE; SPORTS = TAXABLE REVENUE NET OF PROMO CREDITS)	SEP-26	MOM	YOY	FY2025/26	FY YOY
GROSS GAMING REVENUE BY PRODUCT					
Total gaming revenue	**555.0**	**−2.6%**	**+4.1%**	**7,006.0**	**+9.6%**
iGaming (slots + tables + poker)	249.3	+1.5%	+6.8%	2,933.5	+18.4%
iGaming slots	197.4	+1.1%	+9.0%	n/a	n/a
iGaming banking tables	49.7	+3.2%	−0.6%	n/a	n/a
iGaming poker (rake)	2.3	−4.4%	−1.8%	n/a	n/a
Retail slots	196.2	−8.3%	+2.4%	2,441.0	+0.0%
Retail table games	60.2	−9.4%	−18.1%	908.9	−2.2%
Sports wagering taxable revenue (retail + online)	44.7	+13.7%	+50.5%	662.9	+36.0%
Sports wagering handle (memo)	798.7	+60.2%	−6.1%	8,448.1	−3.1%
Video gaming terminals (truck stops)	3.2	−5.2%	−4.9%	41.6	+0.6%
Fantasy contests	1.5	+45.1%	−23.8%	18.0	−5.8%
CHANNEL MIX					
Online share of GGR (iGaming + online sports + DFS)	52.5%	—	—	~50%	—
iGaming share of GGR	44.9%	—	+1.2pp	41.9%	+3.2pp
Online share of sports handle	96.1%	—	—	n/a	—
TAX					
Tax & local share collected (pre-DoR adjustment) **FY figure includes $110m slot-machine licence operation fees funding local share accounts.**	**242.6**	**−2.6%**	**n/a**	**3,098.2**	**n/a**
Effective tax / GGR	43.7%	—	—	44.2%	—
Tax base & statutory rates	GGR-based: iSlots 54%; iTables/poker 16%; sports 36% of revenue net of promo (+0.25% federal excise on handle); retail slots ~55% statutory / 50.6% effective; retail tables 16%; VGT 52%; DFS 15%	—	—	unchanged in FY2026-27 budget	—
LICENSING					
Land-based casinos	18 (6 Cat 1, 5 Cat 2, 2 Cat 3, 5 Cat 4)	—	+1 (Happy Valley, Apr-26)	18	—
Online sportsbooks / retail sportsbooks	11 / 17	—	—	11 / 17	—
iGaming sites (reporting licensees)	22 (11)	—	Mount Airy exited Sep-25	22 (12 incl. Mount Airy part-year)	—
VGT truck-stop establishments (terminals)	72 (360)	—	74 in Sep-25	75 at FY-end	—
Key licence fees	iGaming certificate $10m (3 verticals) or $4m per vertical; sports wagering certificate $10m; renewals $250k / 5 yrs; platform operator $1m / 5 yrs; Cat 1/2 slot-licence operation fee $10m p.a.; supplier $85k	—	—	—	—

3 DEEP-DIVE — SPORTS BETTING (ONLINE & RETAIL)

> **Handle −6.1% YoY to $798.7m but taxable revenue +50.5% to $44.7m on a 9.2% gross hold; FanDuel and DraftKings hold 69% of online revenue while new entrants buy share with promo.**

HANDLE AND HOLD

Handle fell 6.1% YoY to $798.7m but taxable revenue rose 50.5% to $44.7m on a 9.2% gross hold; the market is structurally a hold story.

- September 2025 handle was $850.5m; FY2025/26 handle of $8,448.1m was itself 3.1% below the prior year.
- Operator revenue before promotions was $73.5m; taxable revenue after $28.8m of promotional credits was $44.7m, a 5.6% taxable hold.
- September 2025 taxable hold was just 3.5% when favourites ran the table.
- FY2025/26 taxable hold rose to 7.85% from 5.59%, lifting revenue 36% on shrinking volume.
- Parlay-mix effect is the main growth engine, so HB 2879's proposed SGP and microbet ban matters more than any tax debate.

PROMOTIONAL CYCLE

September's $28.8m of credits equalled 3.6% of handle and 39% of gross revenue, saving operators roughly $10.4m of tax at the 36% rate.

- August credits were $11.1m (2.2% of handle); Q1 FY26/27 operators deducted $52.8m on $1,806.8m of handle (2.9%).
- Pennsylvania taxes sports revenue net of credits at 36% (34% state plus 2% local share); the Commonwealth collected $16.1m in September.
- Valley Forge (FanDuel) ran 9.2% gross hold with promo at 41% of gross; Meadows (DraftKings) 8.2% and 40%; Harrah's (Caesars) 6.9% and 51%.
- Presque Isle, whose new online skin lifted FY sports revenue more than tenfold, spent $4.43m of credits against $5.15m gross (86%), leaving $0.72m taxable.

ONLINE DUOPOLY

Online took 96.1% of handle ($767.5m) and 90.2% of taxable revenue ($40.3m); FanDuel and DraftKings hold 69% of online revenue.

- Retail books across 17 locations handled $31.2m and won $4.4m.
- Valley Forge/FanDuel: 36.7% of online handle and 37.9% of online taxable revenue; Meadows/DraftKings: 32.7% and 30.7%.
- Penn's other licences (York 7.6%, Morgantown 7.9%, Penn National 5.3% of taxable revenue) host the remaining tier-one skins among 11 live brands.
- Mohegan's own online book launched 7 Nov 2025; brand-to-licence mapping beyond FanDuel/DraftKings unverified this cycle.
- BetRivers 3.9%, betPARX 1.9%, Harrah's/Caesars 1.8%; FY2025/26 Valley Forge took 41.1% ($272.6m) and Meadows 28.6% ($189.9m).

CHALLENGER ECONOMICS

Pennsylvania sports betting is a scale game; the top two brands' September promo budgets ($18.8m) exceed every other licensee's gross revenue combined.

- PGCB footnotes that futures distort month-level hold; Q1 FY26/27 gross hold of 10.4% and taxable hold of 7.5% fit the national parlay shift.
- The 36% tax plus 0.25% federal excise on handle make low-hold straight-bet books uneconomic.
- Policy direction (SGP/microbet bans, VIP and push-notification curbs, advertising hours) targets precisely the features driving hold expansion.
- Prediction markets accepting 18-year-olds on sports event contracts outside PGCB's remit are the other volume leak to watch.

REGULATORY SPECIFICS

Sports wagering requires a casino-held certificate ($10m petition fee; $250k renewal every five years) and a 36% tax on revenue after promotional credits.

- Online is conducted directly or via a licensed sports wagering operator; Category 4 licensees may petition for separate online certificates.
- Retail books are permitted at casinos and licensed off-track betting sites (Mohegan Lehigh Valley).
- There is no handle-based state tax.
- HB 2879 would add a 0.75% assessment on online sports and casino revenue for problem-gambling programmes.

SPORTS WAGERING (US $M; PGCB FY26/27 MONTHLY SPORTS WAGERING REPORT)	SEP-26	AUG-26	SEP-25	Q1 FY26/27 (JUL–SEP)	FY2025/26
Total handle	**798.7**	**498.5**	**850.5**	**1,806.8**	**8,448.1**
Online handle	767.5 (96.1%)	476.9	n/a	1,732.8	n/a
Retail handle	31.2	21.6	n/a	74.0	n/a
Gross revenue before promo credits	73.5	50.5	n/a	188.8	n/a
Promotional credits deducted	28.8	11.1	n/a	52.8	n/a
Taxable revenue	**44.7**	**39.4**	**29.7**	**135.9**	**662.9**
Online taxable revenue	40.3 (90.2%)	37.6	n/a	127.5	n/a
Retail taxable revenue	4.4	1.8	n/a	8.5	n/a
Gross hold (pre-promo) % of handle	9.2%	10.1%	n/a	10.4%	n/a
Taxable hold % of handle	5.6%	7.9%	3.5%	7.5%	7.8%
Promo credits % of handle	3.6%	2.2%	n/a	2.9%	n/a
Tax: 34% state + 2% LSA	16.1	14.2	n/a	48.9	238.7
Online share — Valley Forge / FanDuel (handle; taxable rev)	36.7%; 37.9%	—	—	—	41.1% of FY revenue
Online share — Meadows / DraftKings (handle; taxable rev)	32.7%; 30.7%	—	—	—	28.6% of FY revenue
Online share — York / Morgantown / Penn National (taxable rev)	7.6% / 7.9% / 5.3%	—	—	—	6.3% / 4.9% / 3.9%
Online share — Presque Isle (handle; taxable rev; promo/gross)	5.3%; 1.8%; 86%	—	—	—	3.4% of FY revenue (+1,000%)

4 DEEP-DIVE — ONLINE CASINO (IGAMING)

$249.3m GGR (+6.8% YoY) on $8.0bn of monthly turnover; three licences (Penn National, Valley Forge/FanDuel, Rivers Philadelphia) hold 83% and the 54% slots tax is softened by deductible promotions.

REVENUE AND GROWTH

September iGaming GGR was $249.3m (+6.8% YoY, +1.5% MoM), keeping the largest US market on a ~$3bn annual run-rate but decelerating.

- Split: $197.4m slots (+9.0%), $49.7m banking tables (−0.6%), $2.3m poker rake (−1.8%).
- FY2025/26 grew +18.4% to $2,933.5m; Q1 FY26/27 is $744.0m, roughly +8% on the comparable quarter.
- Maturing player base: Penn State/DDAP found up to 30% of adults gambled online in 2025.
- Supply consolidation: Mount Airy ceased iGaming in September 2025, Live! Philadelphia lost 52.8% over the fiscal year, Mohegan down 64.6% in September.

UNIT ECONOMICS AND TAX

Online slots turned over $5,115.9m at a 3.86% hold, implying about $67.5m of promotional credits netted off before tax.

- Players were paid $4,851.1m on slots; implied deductions were ≈25% of pre-deduction win, and $213.3m for Q1 FY26/27.
- Banking tables turned over $2,897.9m at a 1.71% hold.
- Tax is 54% on slots (34% state, 13% CFA county grants, 5% local share, 2% local share) and 16% on tables and poker (14% + 2%).
- Tax produced $114.9m in September (46.1% of iGaming GGR) and $1,337.4m for FY2025/26 (45.6%).
- Blended effective burden on gross win before promotions is well below the 54% headline, sustaining double-digit growth under the highest US product tax.

CONCENTRATION

Three licences hold 83%: Penn National $99.0m (39.7%; +12.9%), Valley Forge/FanDuel $69.8m (28.0%; +5.1%), Rivers Philadelphia $38.5m (15.4%; +8.6%).

- Penn National's licence hosts multiple third-party skins alongside Hollywood; skin roster unverified this cycle.
- Harrah's Philadelphia (Caesars) $13.4m (5.4%; +23.0%).
- Next tier: Golden Nugget $7.4m (2.9%), Parx/betPARX $5.9m, Bally's $5.4m (+41.7%), Presque Isle $4.7m (+34.8%), Mohegan $2.2m, Live! Philadelphia $2.0m, Wind Creek $1.1m.
- FY2025/26 shares were 38.6% / 27.7% / 15.8% / 5.5%; poker is a $2.3m niche across four licensees.

ACCESS AND COST

Certificates cost $10m for all three verticals or $4m per vertical, with a $4m bond, $250k renewals every five years and a $1m platform licence.

- Available to the 18 casino licensees and Qualified Gaming Entities; platform licence renewal is $100k.
- PGCB counts 22 live iGaming sites across 11 reporting licensees, about two skins per licence on average.
- Exits of Mount Airy's and Live!'s partners show skins can be repriced or released.
- B2C entry only works at tier-one scale or with differentiated product; for B2B suppliers the 22-site, $3bn market is attractive at an $85k licence ($75k renewal).

REGULATORY OVERLAY

Regulation is tightening on product and marketing rather than tax, and proposed measures would compress iGaming yield per active, especially high-value cohorts.

- Regulation 125-258 would require deposit, spend, wager and time-limit options at onboarding, hourly session pop-ups, monthly RG messaging and marketing opt-outs.
- HR60 and HB 2879 add mandatory loss limits (lower for 21–25s), two-deposit daily cap, affordability checks above $5,000 per 180 days, biometric verification, VIP/host ban and credit-card ban.
- The state's own research says high-value cohorts generate the bulk of revenue.
- HB 2801's sweepstakes ban would remove unlicensed competition.

INTERACTIVE GAMING (US $M; PGCB FY26/27 MONTHLY INTERACTIVE GAMING REPORT)	SEP-26	AUG-26	SEP-25	YOY	Q1 FY26/27 (JUL–SEP)
iGaming GGR total	**249.3**	**245.7**	**233.4**	**+6.8%**	**744.0**
Interactive slots GGR	197.4	195.2	181.1	+9.0%	591.8
Interactive slots wagers (turnover)	5,115.9	5,054.7	n/a	n/a	15,121.3
Interactive slots hold on wagers	3.86%	3.86%	n/a	—	3.91%
Implied slots deductions (wagers − payouts − GGR) Not a reported line; derived from PGCB wagers, amount won and gross revenue. Treat as promotional credits and other adjustments.	67.5	82.9	n/a	n/a	213.3
Interactive banking tables GGR	49.7	48.1	50.0	−0.6%	145.2
Interactive tables wagers	2,897.9	2,569.9	n/a	n/a	8,073.0
Interactive poker rake	2.3	2.4	2.3	−1.8%	7.0
iGaming tax (54% slots / 16% tables & poker)	114.9	n/a	n/a	n/a	343.9
Effective tax / iGaming GGR	46.1%	—	—	—	46.2%
Share — Penn National licence	39.7%	—	37.6%	+12.9% GGR	—
Share — Valley Forge (FanDuel)	28.0%	—	28.4%	+5.1% GGR	—
Share — Rivers Philadelphia (BetRivers)	15.4%	—	15.2%	+8.6% GGR	—
Share — Harrah's (Caesars)	5.4%	—	4.7%	+23.0% GGR	—
Top-3 licence share	83.1%	—	81.2%	—	—
Live iGaming sites / reporting licensees	22 / 11	—	— / 12	Mount Airy exited	—

5 DEEP-DIVE — RETAIL CASINO, VGTS & FANTASY

Land-based GGR $256.3m (−3.2% YoY) with tables −18.1%; retail slots flat for three fiscal years — but the October removal of ~70,000 unlicensed skill games is the first genuine demand tailwind in years.

LAND-BASED PERFORMANCE

Land-based GGR was $256.3m (−3.2% YoY): slots $196.2m (+2.4%) and tables $60.2m (−18.1%), with retail slots flat for three fiscal years.

- Slots were −8.3% MoM on August's seasonally stronger $213.9m; 24,523 machines in service (+192 YoY) at roughly $267 win per unit per day versus $262.
- FY2025/26 slot GGR of $2,441.0m was +0.02% and essentially unchanged since FY2021/22 ($2,410m).
- Tables were $908.9m in FY2025/26 (−2.2%), down from $1,015.7m in FY2021/22.
- September table drops: Wind Creek −23.9%, Parx −29.1%, Rivers Pittsburgh −45.4%, Live! Philadelphia −15.1%; iTables GGR ($49.7m) is now 83% of retail tables.

PROPERTY DYNAMICS

Parx leads retail slots ($30.6m; FY $375.2m) while Category 4 mini-casinos are small but carry sports wagering certificates hosting national sportsbooks.

- Wind Creek Bethlehem $22.1m slots and table leader at $14.1m; Rivers Pittsburgh $20.1m; Mohegan Pennsylvania $14.4m; Mount Airy $13.2m.
- Category 4: Hollywood York $6.5m slots, Hollywood Morgantown $5.1m, Live! Pittsburgh $7.7m, Parx Shippensburg $3.3m, Happy Valley $1.6m slots and $0.4m tables in its sixth month.
- Penn's York and Morgantown licences host nationally scaled online sportsbooks; Nemacolin (Category 3) is immaterial at $2.5m.

FLOOR TAXATION

Floor taxation is the heaviest in the country: September slot tax of $99.3m was 50.6% of slot GGR and table tax $10.5m was 17.4%.

- Statutory slot stack: 34% state, ~12% Race Horse Development Fund, 5% EDTF, 4% local share, with the municipal 2% replaced for Category 1/2 by a $10m annual fee.
- Table tax is 14% state + 2% local share; fully automated electronic tables are taxed at a higher rate [unverified].
- FY2025/26 slot tax including mandated fees was $1,233.9m and table tax $153.9m.

VGTS AND FANTASY

Truck-stop VGTs produced $3.2m (−4.9%) in September and $41.6m in FY2025/26 (+0.6%), taxed at 52% ($1.65m); fantasy was $1.5m (−23.8%).

- 72 qualified establishments with the maximum five terminals each (74 a year earlier; 75 at FY-end).
- Marquee by Penn operates 36 sites with 67% of revenue; J&J Ventures 17, Jango 15, Venture Gaming 4.
- Fantasy FY revenue $18.0m (−5.8%), 75% DraftKings and 21% FanDuel, taxed at 15%.

SKILL-GAME SWING FACTOR

October removal of ~70,000 unlicensed skill games is the first genuine demand tailwind in years, but likely temporary pending 2027 re-legalisation.

- Pennsylvania Supreme Court ruled in June 2026 the terminals are slot machines; State Police began enforcement on 14 October after the 13 October deadline lapsed.
- Largest supplier Pace-O-Matic remotely disabled its machines; casino and VGT slot play should capture displaced demand from Q4 2026.
- House Speaker McClinton, Senate Republican leaders and Gov. Shapiro all favour taxing and regulating, so a licensed regime is likely in 2027.
- Operators should model the Q4 2026–H1 2027 window as a temporary, not permanent, retail uplift.

LAND-BASED, VGT & FANTASY (US $M; PGCB)	SEP-26	YOY	AUG-26	FY2025/26	FY YOY
Retail slots GGR	**196.2**	**+2.4%**	**213.9**	**2,441.0**	**+0.0%**
Slot machines in operation	24,523	+192 units	n/a	n/a	n/a
Win per unit per day (derived)	~$267	+1.6%	n/a	n/a	n/a
Retail table games GGR	**60.2**	**−18.1%**	**66.4**	**908.9**	**−2.2%**
Retail casino GGR (slots + tables)	**256.3**	**−3.2%**	**280.3**	**3,349.9**	**−0.6%**
Retail sports wagering taxable revenue	4.4	n/a	1.8	n/a	n/a
VGT revenue (72 truck stops × 5 terminals)	3.2	−4.9%	3.4	41.6	+0.6%
Fantasy contests revenue	1.5	−23.8%	1.0	18.0	−5.8%
Slot tax (50.6% effective; ~55% statutory)	99.3	n/a	n/a	1,233.9 (incl. fees)	n/a
Table tax (17.4% effective; 16% statutory)	10.5	n/a	n/a	153.9	n/a
VGT tax (52%) / DFS tax (15%)	1.65 / 0.22	n/a	n/a	21.6 / 2.7	n/a
Slot leaders — Parx / Wind Creek / Rivers Pittsburgh	30.6 / 22.1 / 20.1	+5.7% / +3.1% / −3.1%	—	375.2 / 277.0 / 255.3	−0.7% / −1.7% / −1.6%
Table leaders — Wind Creek / Parx / Live! Philadelphia	14.1 / 11.9 / 7.3	−23.9% / −29.1% / −15.1%	—	239.9 / 196.4 / 105.5	−3.3% / +0.0% / +1.3%
Happy Valley Casino (Cat 4, opened Apr-26) total	2.0	n/a	2.3	6.9 (3 months)	n/a
Skill games (unlicensed) — est. terminals [PA Supreme Court ruling June 2026; estimate cited by Spotlight PA. Not PGCB-regulated.]	~70,000; enforcement from 14 Oct 2026	—	—	—	—

6 DEEP-DIVE — LICENSING, TAX & OPERATOR LANDSCAPE

Casino-anchored licensing (18 licensees as gatekeepers), GGR-based taxes of 54%/16%/36% unchanged in the FY2026-27 budget, and a record $3.1bn take that lowers near-term rate risk.

ENABLING FRAMEWORK

The Gaming Act (4 Pa.C.S., 2004), expanded by Act 42 of 2017, makes PGCB the single regulator and 18 casino licensees the gatekeepers to all online products.

- Lottery, including iLottery, sits with the Department of Revenue outside PGCB statistics.
- Licences capped by category: six Category 1, five Category 2, two Category 3, five Category 4; Happy Valley opened April 2026 as the eighteenth casino.
- Interactive and sports wagering certificates are issued to casino licensees; QGEs can petition at $4m per vertical when unclaimed, as Golden Nugget and Bally's did.

FEES

Fees are front-loaded and modest relative to revenue: $10m per interactive or sports certificate, $250k renewals every five years and a $4m bond.

- Interactive certificate covers slots, tables and poker ($10m) or $4m each; platform licence $1m with $100k renewals; suppliers $85k/$75k.
- $10m annual slot-machine licence operation fee for Category 1/2 casinos funds local share accounts ($110m in FY2025/26).
- Principals and key employees individually licensed ($2,500/$1,500 under QGE process); table games required a one-time certificate fee ($2.5m for Category 3 per AGA).
- Servers and operations must be in Pennsylvania; there is no local-ownership requirement.

TAX STRUCTURE

Tax is on GGR, never turnover: online slots 54%, online tables/poker 16%, sports 36% net of promotions; FY2025/26 take was a record $3,098.2m (44.2%).

- Online slots: 34% state, 13% CFA county grants, 5% and 2% local share; sports 34% + 2% plus 0.25% federal excise on handle.
- Retail slots roughly 55% statutory (50.6% effective in September); retail tables 16% (17.4% effective); VGTs 52%; fantasy 15% of adjusted revenue.
- September 2026 produced $242.6m of tax and local share (43.7% of GGR).
- FY2025/26: slots $1,233.9m, iGaming $1,337.4m, sports $238.7m, tables $153.9m, VGT $21.6m, DFS $2.7m, funding property-tax relief, local grants, racing and General Fund.

OPERATOR LANDSCAPE

The landscape is concentrated and casino-controlled: Penn Entertainment ≈29% of state revenue, Boyd's Valley Forge $96.6m (17.4%) via FanDuel.

- Penn: Penn National $113.6m, Meadows $27.5m, York $10.6m, Morgantown $8.9m plus Marquee VGTs.
- Rush Street $81.2m; Greenwood $53.6m; Wind Creek $37.5m; Cordish $30.3m; Caesars $24.4m; Mohegan $18.8m; Mount Airy $15.8m; Presque Isle $14.2m.
- QGEs: Golden Nugget $7.4m, Bally's $5.4m.
- FY2025/26 iGaming shares: Penn National 38.6%, Valley Forge 27.7%, Rivers Philadelphia 15.8%; sports: Valley Forge 41.1%, Meadows 28.6%; 11 sportsbook brands and 22 iGaming sites.

FISCAL DIRECTION

The $50.8bn FY2026-27 budget contained no gaming tax changes and the record take reduces appetite for rate increases; shelf space is the real entry risk.

- HB 2801 (2027 session) is drafted as a Gaming Act rewrite 'revising licensing fees, taxes and revenue distributions' alongside its sweepstakes ban.
- Skill-game legalisation will set a new terminal tax rate; Shapiro has proposed taxing the devices in three of four budgets, the rate being the sticking point.
- HB 2879 would add a 0.75% RG assessment on online revenue.
- Access depends on an incumbent casino partner or QGE certificate, and skins have been released (Mount Airy, Live!) rather than added.

LICENSING & TAX REGIME (PGCB, 4 PA.C.S., AGA FACT SHEET)	RATE / FEE	BASE / TERM	EVIDENCE
TAX RATES			
Interactive slots	54% (34% state + 13% CFA county grants + 5% LSA + 2% LSA)	GGR net of promotional credits	PGCB FY26/27 iGaming report tax lines
Interactive tables & poker	16% (14% state + 2% LSA)	GGR / rake	PGCB iGaming report
Sports wagering (retail & online)	36% (34% state + 2% LSA) + 0.25% federal excise on handle	Revenue net of promotional credits	PGCB sports wagering report; IRC §4401
Retail slots	~55% statutory (34% state, ~12% RHDF, 5% EDTF, 4% local); 50.6% effective Sep-26	Gross terminal revenue	PGCB Sep-26 release; 4 Pa.C.S. §1403 (via gamblingatlas)
Retail table games	16% (14% + 2%); 17.4% effective Sep-26	GGR	PGCB Sep-26 release
Video gaming terminals	52.0%	Gross terminal revenue	PGCB Sep-26 ($1.65m / $3.18m)
Fantasy contests	15.0%	Adjusted revenue	PGCB Sep-26 ($0.22m / $1.49m)
LICENCE FEES			
Interactive gaming certificate	$10m (slots + tables + poker) or $4m per vertical; QGE $4m per vertical; $4m bond per certificate	5 years; $250k renewal	PGCB renewal form; PGCB QGE process; AGA
Sports wagering certificate	$10m one-time petition fee	5 years; $250k renewal	PGCB renewal form; AGA
Interactive gaming operator (platform) licence	$1m	5 years; $100k renewal	AGA fact sheet
Slot-machine licence operation fee (Cat 1 & 2)	$10m per annum per casino ($110m FY25/26)	Funds local share accounts	PGCB FY25/26 release; AGA
Supplier licence	$85k initial / $75k renewal	—	AGA fact sheet
Category 3 table games certificate	$2.5m one-time	—	AGA fact sheet
MARKET STRUCTURE			
Casinos / online SB / retail SB / iGaming sites / VGT sites / DFS	18 / 11 / 17 / 22 / 72 / 7	~16,000 casino jobs	PGCB 2025-26 Annual Report release (30 Sep 2026)
Top licensees by Sep-26 total revenue	Penn National $113.6m (20.5%); Valley Forge $96.6m (17.4%); Rivers Phila $55.7m; Parx $50.1m; Wind Creek $37.5m	—	PGCB Sep-26 release
FY2026-27 state budget	$50.8bn signed Jul-26; no gaming tax changes; skill games unaddressed	—	Spotlight PA

7 DEEP-DIVE — RESPONSIBLE GAMBLING, PAYMENTS & REGULATORY DIRECTION

The 2027 agenda is written: PGCB Regulation 125-258, HB 2879's mandatory limits/credit-card and VIP bans, a sweepstakes ban (HB 2801), unresolved prediction-market jurisdiction and skill-game re-legalisation.

EVIDENCE BASE

RG is moving from opt-in tools to prescriptive controls, driven by Penn State/DDAP findings that up to 30% of adults gambled online in 2025.

- Online gambling participation was 20% in 2024 and ~11% in 2021-22; 2.5–6.4% of Pennsylvanians may be problem gamblers.
- Dual-mode players carry the highest risk; more than 10% of adults used unregulated sites.
- JSG HR60 study (14 July 2026) recommends a data mandate, credit-card deposit ban, mandatory loss/session/deposit-count limits, promo bans to logged-off customers and VIP curtailment.
- Slot play is already card-free under 58 Pa. Code; in-game betting restrictions received only passing mention.

REGULATION 125-258

PGCB's proposed Regulation 125-258 mandates limit tools, hourly pop-ups and marketing opt-outs; final adoption in 2027 is the base case.

- Published 11 July 2026; comments closed 10 August; IRRC review in progress.
- Requires daily, weekly and monthly deposit, spend, wager and time limits at account opening, separately or jointly for iGaming and sports.
- Hourly pop-ups players must dismiss, monthly ad-free help messaging, direct-marketing opt-out, suspension up to a year, monthly reporting, under-age advertising rule.
- Greenwood (Parx) filed comments; the National Council on Problem Gambling (29 July) presses for default-on limits.

HB 2879

HB 2879 would ban microbets, SGPs, VIP programmes and credit-card funding; it will not pass in 2025-26 but is the reference text for 2027.

- Introduced 21 October 2026 by Reps. Tarik Khan (D) and Jamie Flick (R); referred to House Gaming Oversight.
- Mandates daily and monthly loss limits (lower for 21–25s), two deposits per day, affordability checks above $5,000 in 180 days, two-hour default sessions with 72-hour wait.
- Biometric verification at login and for wagers above $500, advertising-hour limits, athlete/celebrity ad bans, AI promo rules, 0.75% levy for DDAP.
- Two House session days remain before 30 November with no carry-over; bipartisan sponsorship and the new Problem Gambling Caucus matter for 2027.
- Advertising is otherwise governed by PGCB regulations and self-regulation; there is no statutory watershed today.

PAYMENTS

A credit-card deposit ban has three independent sponsors and should be treated as probable within 12–18 months.

- PGCB publishes no payment-mix statistics (n/a); accounts may be funded by credit card, debit, ACH, e-wallets, cage or prepaid; cash withdrawals at partner cages.
- Knock-on effects on first-deposit conversion and on share of deposits routed through debit/ACH.
- Mandatory affordability checks above $5,000 per 180 days would formalise source-of-funds at a lower threshold than most US states.

COMPETITIVE FRONTS

Sweepstakes ban (HB 2801), unresolved prediction-market jurisdiction and skill-game re-legalisation shape 2027 competitive intensity.

- HB 2801 (Rep. Russ Diamond, four co-sponsors, 5 January 2027 session) outlaws dual-currency sweepstakes casinos with fines up to $500,000 — net positive for licensees.
- Kalshi and Polymarket accept Pennsylvanians 18+ under CFTC designation; PGCB has not issued a cease-and-desist and HB 2711 would license such markets at $1m with a 21+ floor.
- ~70,000 skill terminals ordered dark from 14 October 2026; the tax rate is the unresolved variable in a 2027 regulated regime.
- The November 2026 gubernatorial election (Shapiro vs Garrity) determines who signs it.

> *“is sports wagering”* — **PGCB**

REGULATORY PIPELINE (STATUS AS OF 28 OCT 2026)	STATUS	KEY PROVISIONS	OPERATOR IMPACT
PGCB proposed Regulation #125-258 (compulsive & problem gaming)	Published PA Bulletin 11 Jul 2026; comments closed 10 Aug; IRRC review; not final	Opt-in deposit/spend/wager/time limits at onboarding; hourly pop-ups; monthly RG messaging; marketing opt-out; suspension ≤1 yr; monthly reporting; under-age-audience ad rule	Moderate; UX and CRM changes; NCPG pushing default-on limits
HB 2879 — PA Online Consumer Protection Act	Introduced 21 Oct 2026 (Khan D / Flick R); House Gaming Oversight; session ends 30 Nov — will not pass; 2027 template	Ban microbets, SGPs, VIP programmes, credit-card deposits, auto-wagering; mandatory loss limits (lower 21–25); 2 deposits/day; affordability check >$5k/180d; 2-hr default session; biometrics >$500; ad curbs; 0.75% RG levy	High if enacted: hits parlay hold, VIP yield, deposit conversion; +0.75pp effective tax
HB 2801 — online sweepstakes ban & Gaming Act rewrite	Pre-filed late Sep 2026 for 5 Jan 2027 session; House Gaming Oversight (sponsor is co-chair)	Prohibit dual-currency sweepstakes casinos; fines ≤$500k; PGCB/AG powers; revisions to fees, taxes, distributions	Positive (removes unlicensed competition); watch fee/tax language
HB 2711 — prediction markets	Introduced 22 Jul 2026; House Consumer Protection cttee; no movement	AG oversight (not PGCB); 21+; $1m licence + $1m annual; insider-trading rules	Legitimises a sports-contract channel outside PGCB tax; PGCB opposed
Skill games — PA Supreme Court ruling	Ruled Jun 2026 (slot machines under Gaming Act); 120-day stay to 13 Oct; PSP enforcement from 14 Oct 2026	~70,000 terminals illegal outside casinos/VGT truck stops; Pace-O-Matic disabled machines; 6 operator agreements	Q4-26/H1-27 tailwind to licensed slots/VGT/iGaming; legalisation + tax likely 2027
JSG HR60 staff study	Published 14 Jul 2026	Player-data mandate; credit-card ban; mandatory limits; no logged-off promos; VIP curbs	Evidence base for HB 2879 / Reg 125-258
Penn State / DDAP 2025 Interactive Gaming Assessment	Published Jan 2026 (Act 42-funded)	Up to 30% of adults gambled online (20% 2024; ~11% 2021-22); 2.5–6.4% problem gamblers; >10% used unregulated sites	Political fuel for RG mandates
Credit-card deposits	Permitted for interactive accounts; prohibited for retail slot play (58 Pa. Code)	Ban proposed by JSG and HB 2879	Probable within 12–18 months
Advertising	PGCB regulation + proposed under-age-audience rule; no statutory watershed	HB 2879: hours restriction; no athletes/celebrities/influencers appealing to minors; AI-promo rules	Watch 2027
FY2026-27 budget / tax rates	$50.8bn signed Jul 2026; no gaming tax changes	54% / 16% / 36% unchanged	Low near-term tax risk

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Scale and penetration: $7.0bn FY2025/26 GGR (+9.6%), online above 50% of revenue, iGaming $2.93bn (+18.4%) and still +6.8% in September — the deepest regulated online casino pool in the US for any supplier or skin partner. structural
- Skill-game removal: ~70,000 unlicensed terminals ordered dark from 14 Oct 2026 after the Supreme Court ruling — a first genuine demand tailwind for licensed slots (24,523 units, flat for three years), VGTs and iGaming through at least H1 2027. one-off
- Sports betting hold expansion: taxable hold 7.85% in FY2025/26 vs 5.59%, September gross hold 9.2% — revenue +36% FY and +50% YoY in September on declining handle, so the revenue pool grows without volume. structural
- Promotional deductibility: $28.8m of sports credits and an implied ~$67.5m of iSlots deductions netted off before tax in September — the 54%/36% headline rates bite on a materially smaller base than gross win. structural
- Sweepstakes ban (HB 2801) pre-filed for the January 2027 session with $500k fines and PGCB/AG enforcement — would remove the main unlicensed online casino competitor; >10% of adults currently use unregulated sites. early
- Qualified Gaming Entity route: non-casino brands can hold iGaming certificates at $4m per vertical (Golden Nugget, Bally's precedent) and released skins (Mount Airy, Live!) create shelf space; supplier licence is only $85k. structural
- Fiscal stability: FY2026-27 budget left 54%/16%/36% untouched and a record $3.1bn take lowers the political appetite for rate increases in 2027. mixed

▼ LOWLIGHTS

- Heaviest tax stack in US iGaming: 54% on online slots, 46% blended effective on iGaming GGR, 36% on sports plus 0.25% federal excise, ~55% statutory on retail slots — margins only work at tier-one scale. structural
- Concentration: top three iGaming licences hold 83.1%; FanDuel and DraftKings hold 68.6% of online sports revenue and spent $18.8m on promos in September — more than every other licensee's gross revenue combined. Presque Isle's new skin needed promo equal to 86% of gross to reach 5% of handle. structural
- Consumer-protection pipeline: HB 2879 (SGP/microbet ban, VIP ban, credit-card ban, mandatory loss limits, affordability checks >$5k/180d, biometrics, 0.75% RG levy) plus PGCB Regulation 125-258 and the JSG HR60 recommendations — bipartisan, evidence-backed and aimed at the exact drivers of current yield. governance
- Volume leakage: sports handle −6.1% YoY in September and −3.1% over FY2025/26 while prediction markets (Kalshi, Polymarket) take sports event contracts from 18-year-olds outside PGCB's tax and RG regime; PGCB has no enforcement tool yet. watch
- Retail erosion: retail tables −18.1% YoY in September and −2.2% FY; retail casino GGR −3.2%; land-based slots have been flat since FY2021/22 — the skill-game uplift is likely temporary once a taxed regime is legislated in 2027. mixed
- Political and fiscal re-opening risk: HB 2801 is drafted as a Gaming Act rewrite of fees, taxes and distributions; any skill-game legalisation will set a new terminal tax and could extend distributed gaming; the November 2026 gubernatorial election decides who signs. governance
- Small verticals shrinking: fantasy −23.8% YoY ($1.5m), VGTs −4.9% with sites down 74→72, poker −1.8% — no diversification cushion outside iGaming slots and sports. one-off

9 FORECAST & OUTLOOK

Guidance bridge. The bridge from FY2025/26's record $7,006m to FY2026/27 is driven by online casino and policy, not by land-based volume. Q1 FY26/27 (Jul–Sep) is tracking iGaming at $744.0m (~+8%) and sports taxable revenue at $135.9m on a 7.5% hold, while retail casino is running −3% to −4%. Three moving parts dominate the next 12–18 months: (1) iGaming growth settling into high single digits as penetration plateaus and skins consolidate; (2) a one-off retail slot/VGT uplift from the removal of ~70,000 skill games from 14 Oct 2026 that reverses if Harrisburg legalises a taxed regime in 2027; and (3) regulatory drag on yield from PGCB Regulation 125-258 and whichever parts of HB 2879 (credit-card ban, mandatory limits, VIP/SGP curbs, 0.75% levy) survive the 2027 session. Tax rates themselves are the least likely variable to move.

FY2025/26 TOTAL GAMING REVENUE	IGAMING GROWTH (EST.)	RETAIL SLOTS + VGT: SKILL-GAME DISPLACEMENT (EST.)	SPORTS TAXABLE REVENUE (EST.) & RETAIL TABLES
$7,006m	**+$220m to +$330m**	**+$50m to +$120m**	**−$30m to +$50m sports; −$20m to −$40m tables**
+9.6% YoY (record)	+8% to +11% → $3.15–3.26bn	+2% to +5% on $2.48bn base; fades if legalised	hold-dependent; parlay restrictions are the tail risk

Independent view. Our independent view (all figures estimates): **FY2026/27 total gaming revenue of $7.3–7.5bn (+4–7%)**, with iGaming $3.15–3.26bn, sports taxable revenue $630–720m on handle of $8.0–8.4bn (hold 7.5–8.5%), retail slots $2.46–2.54bn and tables $870–890m; **tax and fees $3.2–3.3bn**, effective ~44% of GGR. On rules: **PGCB Regulation 125-258 is finalised in H1 2027 with opt-in (not default) limits**, hourly pop-ups and monthly RG messaging; **a credit-card deposit ban for interactive accounts is the most probable statutory change in 2027** (three independent sponsors), followed by advertising restrictions and some form of mandatory limit or affordability check; a full SGP/microbet ban is less likely to survive given it would cut the state's fastest-growing tax line, but a 0.75% RG levy is a plausible compromise. **Skill-game legalisation with a terminal tax is more likely than not in 2027** — the fight is the rate — which caps the retail uplift to roughly two to three quarters. **A sweepstakes ban (HB 2801) is likely** in some form; prediction markets remain unresolved pending federal litigation, and PGCB is more likely to seek legislative authority than to issue cease-and-desists. Tax rates on licensed products stay at 54%/16%/36%. For B2Tech the implication is to **enter as a platform/content supplier or via a QGE/skin partnership priced for 46% blended iGaming tax and a 2027 promo/VIP squeeze**, and to treat Pennsylvania sports betting as a FanDuel/DraftKings market where third-brand economics require sub-30% promo-to-gross discipline.

What to watch next quarter:

- PGCB Regulation #125-258: IRRC disposition and final-form publication (expected H1 2027) — whether limits are opt-in or default-on, and the under-age-audience advertising rule.
- HB 2879 successor bill in the 2027-28 session (opens 5 Jan 2027): credit-card ban, SGP/microbet language, VIP ban, 0.75% RG levy, affordability threshold; House Gaming Oversight hearing schedule.
- Skill-game legislation and tax rate after the Supreme Court ruling; State Police enforcement progress (6 operator agreements) and any renewed stay; Q4 2026 retail slot and VGT revenue as the displacement signal.
- HB 2801 sweepstakes ban and its embedded Gaming Act fee/tax/distribution rewrite — the one vehicle that could reopen rates.
- Prediction markets: PGCB vs CFTC posture, HB 2711 progress, and any Pennsylvania cease-and-desist or litigation; monthly online handle trend (−6.1% in September).
- Monthly PGCB releases (~20th of each month): iGaming YoY growth staying above ~6%; sports taxable hold vs the 7.5–8.5% band; promo credits as % of handle (3.6% in September).
- Skin movements: Penn National's third-party iGaming roster, Presque Isle's new online brand economics, further exits after Mount Airy, and the Mohegan online sportsbook ramp.
- November 2026 gubernatorial election (Shapiro vs Garrity) and FY2027-28 budget address (Feb 2027) for any gaming revenue proposals.

DATA CONFIDENCE: HIGH Data confidence HIGH for all GGR, handle, promo-credit and tax figures: taken from PGCB's 19 Oct 2026 release, the FY2025/26 release (17 Jul 2026), the 2025-26 Annual Report release (30 Sep 2026) and the FY26/27 Monthly Sports Wagering and Interactive Gaming reports; component taxes reconcile to the reported $242,630,497 and tax-line percentages confirm the 54%/16%/36%/52%/15% rates. MEDIUM for: (i) the implied iSlots deduction (derived as wagers − payouts − GGR, not a reported line); (ii) retail-slot statutory sub-rates (Race Horse Development Fund share varies by formula; PGCB effective 50.6%); (iii) brand-to-licence mapping — only FanDuel→Valley Forge and DraftKings→Meadows corroborated by two sources, other skin assignments and the Presque Isle brand are [unverified]; (iv) the ~70,000 skill-game estimate (Spotlight PA/court coverage) and the electronic-table tax differential [unverified]. Not obtained this cycle: PA Lottery/iLottery figures, PGCB payment-mix data, PGCB fines and self-exclusion counts for 2026 (all n/a). Reporting currency USD — no FX conversion required.

Sources: [Primary] PGCB — PA Gaming Control Board Reports Revenue for September (19 Oct 2026) [primary]; [Primary] PGCB — September 2026 revenue release PDF [primary]; [Primary] PGCB — FY2026/27 Monthly Sports Wagering Report Summary (handle, promo credits, taxable revenue, 34%+2% tax by licensee) [primary]; [Primary] PGCB — FY2026/27 Monthly Interactive Gaming Report Summary (wagers, GGR, 54%/16% tax lines by licensee) [primary]; [Primary] PGCB — Fiscal Year 2025/26 Gaming Revenue Tops $7 Billion (17 Jul 2026) [primary]; [Primary] PGCB — 20th Edition Annual Report release (30 Sep 2026; outlet counts, $3.1bn tax) [primary]; [Primary] PGCB — PA Gaming Control Board Reports Revenue for August 2026 [primary]; [Primary] PGCB — Revenue reports index (FY2026/27) [primary]; [Primary] PGCB — Interactive Gaming / Sports Wagering Certificate Renewal Application ($250k renewal fees; 4 Pa.C.S. §13B13, §13C14) [primary]; [Primary] PGCB — Interactive gaming licensing process for Qualified Gaming Entities ($4m bond per certificate; application fees) [primary]; [Primary] Joint State Government Commission — Sports Betting and Related Interactive Gambling in Pennsylvania, HR60 Staff Study (Jul 2026) [primary]; [Primary] Penn State SSRI / DDAP — 2025 Pennsylvania Interactive Gaming Assessment: Online Gambling Report (Jan 2026) [primary]; [Primary] IRRC — Regulation #125-258 docket, Greenwood Gaming & Entertainment comments (Aug 2026) [primary]; [Secondary] American Gaming Association — Pennsylvania Gaming Regulatory Fact Sheet 2025 (fees, 36% sports tax, $10m operation fee) [secondary]; [Secondary] Gaming Intelligence — Pennsylvania gambling revenue hits $555 million in September (22 Oct 2026) [secondary; lead article]; [Secondary] Focus Gaming News — Pennsylvania Gaming Revenue hits US$555m in September 2026 [secondary; lead article, not retrievable]; [Secondary] Covers — Pennsylvania Bill Seeks Sweeping Sports Betting Restrictions, Including SGPs, Microbets (HB 2879; 28 Oct 2026) [secondary]; [Secondary] Legal Sports Report — Bipartisan Bills Would Ban Micro Bets, Cap Online Casino Losses In Pennsylvania (26 Oct 2026) [secondary]; [Secondary] USPoker — Pennsylvania HB 2879 would require loss limits and ban VIP programs; PGCB Regulation #125-258 comparison [secondary]; [Secondary] MyChesCo — Pennsylvania Bill Targets Online Gambling Revenue Practices (credit-card ban, Problem Gambling Caucus) [secondary]; [Secondary] LegalSportsBetting — Pa. Report Puts Player-Data Mandate Above In-Game Ban (JSG HR60; Regulation 125-258 chapters; 21 Jul 2026) [secondary]; [Secondary] Yogonet — NCPG pushes for default online gaming limits in Pennsylvania (Regulation published 11 Jul 2026; comments closed 10 Aug) [secondary]; [Secondary] Spotlight PA — Skill games are gambling devices: PA Supreme Court (Jun 2026) [secondary]; [Secondary] Spotlight PA — Skill games face seizure as deadline looms (Sep 2026) [secondary]; [Secondary] Spotlight PA — Legislature didn't act on skill games by the deadline; ~70,000 machines (16 Oct 2026) [secondary]; [Secondary] Spotlight PA — PA adopts $50.8B budget, skips skill games (11 Jul 2026) [secondary]; [Secondary] City & State PA — What to know as Pennsylvania's skill games deadline takes effect (enforcement 14 Oct 2026) [secondary]; [Secondary] WTAJ — Enforcement of skill games ban underway in PA (PSP; six operator agreements) [secondary]; [Secondary] Covers — Pennsylvania Lawmakers Propose Ban on Sweepstakes Casinos and $500,000 Fines (HB 2801; 13 Oct 2026) [secondary]; [Secondary] SBC Americas — Pennsylvania sweepstakes casinos bill faces tight calendar (session ends 30 Nov; 14 Oct 2026) [secondary]; [Secondary] Gambling Insider — Pennsylvania HB 2711 prediction market regulation (AG oversight) [secondary]; [Secondary] PlayPennsylvania — Kalshi joins NCPG as Pennsylvania pushes for oversight of prediction markets (PGCB letter to CFTC, 30 Apr

2026) [secondary]; [Secondary] SportsBettingDime — Top Pennsylvania gaming regulator warns legislators of prediction market threat (O'Toole letter) [secondary]; [Secondary] CBS Sports — Pennsylvania prediction markets legal status (Kalshi/Polymarket operating outside PGCB, 18+) [secondary]; [Secondary] gamblingatlas.org — Pennsylvania tax rates table (statutory stack, promo deductibility) [secondary]; [Secondary] gamingcompliance.io — Pennsylvania PGCB tax structure: 54% online slots (Act 42 of 2017) [secondary]; [Secondary] Covers — Pennsylvania sports betting: legal sportsbook list and casino partners [secondary]; [Secondary] PlayPennsylvania — PA sports betting (11 online books; Mohegan online launch 7 Nov 2025) [secondary]; [Secondary] SportsbooksOnline — List of all PA sportsbooks (FanDuel licensing partner Valley Forge) [secondary].

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